

FUTURE CFO_DP · HBS-STYLE TEACHING CASE

Rupee at 96: What Meera Does with a Closed Market

Classroom case. Composite firm. Public numbers from 2–3 October 2026. Markets were shut on Friday for Gandhi Jayanti.

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Protagonist	Meera Das, CFO, Eastern Loom Exports — composite
Setting	Bhubaneswar apparel exporter, Saturday 3 October 2026
Decision	What to tell the promoter before Monday's open
Firm data	Assumed. Not a real MCA entity.
Public data	Rupee, GST, FPI, UPI, appointments — verify at source
Rule	AI generates. Data informs. Finance measures. Accounting verifies. Human judgment decides.

Students should not trade on this note. Interviewers will ask which document you opened, not which headline you liked.

1. The call that should not become a journal entry

Meera Das was halfway through tea when the promoter forwarded a screenshot. The rupee, he wrote, had broken 96. Under it: September GST at ■2.04 lakh crore, up 14.7 percent. Should we hold the dollar payable and tell the bank we are fine?

It was Saturday, 3 October 2026. Equity, debt and derivatives had been shut on Friday for Gandhi Jayanti. There would be no continuous price until Monday. A weekend headline is a hypothesis. The journal entry waits for a source document.

Eastern Loom is a teaching composite, not a listed company. Woven shirts, two European buyers, one US buyer, dollars out, rupees in on the loan. Public facts around her are real. The order book is not. Do not search the MCA portal.

The class leaves able to separate a market print from a hedge, a national tax print from a firm's GSTR, and a lender's CEO change from a borrower covenant.

2. The open book, assumed

Last year revenue was ■186 crore, about 70 percent export. Cotton in rupees. A slice of freight in dollars. Cash credit with HDFC Bank, external benchmark, promoter guarantee, no rating. Stock statement due on the seventh, often late.

Exhibit 1 is the Saturday book. Netting \$2.4 million of receivables against \$1.8 million of payables and calling the firm long dollars skips the calendar. The payable falls due first. The forward covers only 40 percent of the receivable, at 94.80, not at the screenshot.

Natural hedge is a phrase. It is not an accounting policy. The domestic remnant, 8 percent of revenue, rupee-invoiced, stays out of the FX memo.

Exhibit 1. Eastern Loom open book (assumed)

Item	Amount	Tenor	Treatment
Dollar receivables	\$2.4 million	60 days	40% forward at 94.80
Dollar payables	\$1.8 million	45 days	Unhedged
Cash credit	■28 crore drawn	On demand	Benchmark-linked
Forward locked	\$0.96 million	60 days	Do not break for a screenshot
Open receivable	\$1.44 million	60 days	Later than the payable
Domestic remnant	~■15 crore	45 days	Rupee, ignore in FX memo

3. 96.3150 is a watch item

Briefs dated 2 October, drawing on the Economic Times, reported the rupee about 0.5 percent weaker, breaching 96, touching 96.3150, a two-month low. Cited drivers: foreign portfolio selling and higher US Treasury yields.

Transaction exposure: an unhedged \$1.8 million payable, taught at 96.30 against a deck rate of 94.80, is about ■27 lakh of extra rupee cost. Meera flags it. She does not book it. Settlement rate is the debit advice.

No overseas subsidiary, so no translation reserve. Economic exposure is the next season's quote, and the buyer's request for a discount because India is cheaper. Monday can gap. The RBI reference rate wins over the wire print in any external sentence.

4. GST is context, not cash

September gross GST was reported at ■2.04 lakh crore, up 14.7 percent, tied to activity and pre-festive stocking. Maruti total sales were reported up 24 percent to 2.36 lakh units. Hero MotoCorp up 12 percent to 7.66 lakh units.

Gross is not net. Refunds come later. Channel fill in cars is not sell-through of shirts. Meera's GSTR-1 still has two disputed export invoices. She will not lift the 13-week forecast because the country had a good tax month. She will lift it when the letter of credit is amended.

A CFO who presents national GST as evidence that her debtor will pay has changed the subject. Collections are a name, a due date, and a document.

5. Two pipes, different owners

Foreign portfolio investors were reported to have sold about ■36,000 crore of equities in September. More than 25 Nifty names were reported over 20 percent below recent highs. UPI transactions rose 23 percent to 24.07 billion. Q1 FY27 FDI equity inflows were reported up 6 percent to \$19.8 billion. Equity issuance in H1 was reported near \$25 billion.

FPI is a cost-of-equity warning, not a number you paste into WACC. UPI says the domestic rail is busy. It says nothing about a container. FDI and issuance are policy-class facts. None of them enter Meera's cash forecast.

Her buyer's European parent can still slow the next programme if risk-off lasts. That risk goes in the order-book memo, beside the name of the buyer, not beside the Nifty.

6. Counterparty: Bagchi, Mishra, and a plea that is not hers

HDFC Bank received RBI clearance to appoint Anup Bagchi as MD and CEO for three years, moving from ICICI Prudential Life. ADRs were reported up more than 5 percent. On 3 October Economic Times framed his test as winning back investor trust. ICICI Prudential Life appointed Sidharatha Mishra, an ICICI Bank veteran, for five years.

Meera's covenant on change of management points at the borrower. A CEO change at the bank is not a default. She logs coverage, credit memo date, and the clear reading. She does not ask for a cheaper spread because an ADR moved.

The NCLT admission of Kotak Mahindra Bank's insolvency plea against Unity Realty and Developers is a named debtor and a legal process. It is not a comment on her limit. Separate folders are a professional skill.

7. Repo, bank shares, and the EDF calendar

Commentary, including a BW CFO World note, still describes the repo at 5.25 percent, neutral stance, FY27 CPI near 4.6 percent. The floating line reprices on the reset date in the facility, not on a Saturday article. A pause is predictability. It is not an invitation to draw.

RBI was reported to allow mutual funds, insurers and pension funds a one-time approval for later bank-share purchases, up to 10 percent. Ownership plumbing. Not drawing power.

From 1 October 2026, service exporters — freelancers, consultants, digital creators earning foreign currency — were reported under mandatory monthly Export Declaration Form filing. Invoice, credit advice, EDF, GST row. Confirm the authorised-dealer checklist before teaching the form as finished.

8. The six-line note

Holding the payable is a view. She is not paid for a view. She is paid to know the unhedged amount, the due day, and the cost of covering versus doing nothing. A disappointing forward can still be the adult choice if the payable funds a shipment already priced.

Celebrating GST is a mood. Expected is not a purchase order. A purchase order without a letter of credit is a hope with a PDF.

Her draft: markets shut Friday. 96.3150 is a watch item, not a rate. Unhedged payable \$1.8 million due before the hedged receivable. Price the forward Monday off the desk. GST is context. Two invoices still disputed. CEO clearance logged; covenant does not trip. No change to the cash forecast until the LC amendment arrives.

9. Ind-AS without the costume

Students reach for Ind-AS 109 the moment a currency moves. If the forward was designated and documented, effectiveness and the OCI split follow the paperwork. If it was not designated, it is a derivative through profit or loss, and the receivable follows the existing monetary-item policy. Designation cannot be invented on a Saturday.

The unhedged payable is remeasured at the closing rate on the reporting date, difference in profit or loss. 3 October is not a reporting date. A flash that pretends otherwise will confuse the December audit.

Offset on the balance sheet needs a legal right and an intention to settle net. Eastern Loom has neither across two buyers and one mill. Show both sides.

10. Board arithmetic

Use 96.30 as a teaching rate and 94.80 as the old forward. Neither is the RBI reference rate until you look it up.

The forward already locked, \$0.96 million at 94.80, does not become a mistake because spot moved. Opportunity cost is not an error. Breaking the contract to participate is a new trade, with a cancellation cost. Meera will not do it for a screenshot.

Exhibit 2 is the ten-minute sensitivity. Exhibit 3 is the permission table: which number may enter the risk memo, the cash forecast, and the journal.

Exhibit 2. Teaching sensitivity — not a forecast

Question	Working	Result
Payable vs 94.80 at 96.30	$1.8\text{m} \times 1.50$	■27.0 lakh
If Monday is 96.80	$1.8\text{m} \times 2.00$	■36.0 lakh
If Monday is 95.40	$1.8\text{m} \times 0.60$	■10.8 lakh
Already insulated	$40\% \times 2.4\text{m}$	\$0.96 million
Still open, later	$60\% \times 2.4\text{m}$	\$1.44 million

Exhibit 3. Where the number is allowed to go

Number	Risk memo	13-week cash	Journal
Rupee 96.3150	Watch item	After a cover only	No
GST ■2.04 lakh cr	Footnote	No	No
FPI ■36,000 cr	Cost of equity note	No	No
UPI 24.07 bn	Domestic rail	No	No
Bagchi clearance	Counterparty log	No	No
NCLT Unity Realty	Ignore folder	No	No
Repo 5.25%	Reset note	On reset only	On reset only

11. Monday checklist and the assignment

Open the RBI reference rate and write it beside the wire print. Ask the desk for two forwards, not one blend: \$1.8 million at 45 days, and the open receivable slice at 60 days. Pull the disputed invoices. Read the covenant. Log Bagchi. Start an EDF calendar if the family has a dollar consulting invoice. File the NCLT item under not us.

Assignment: one-page email to the promoter. Instrument, amount, tenor. Label firm figures as assumed. Label market figures with the document you would still verify. A good script names the timing gap. A weak script nets and celebrates. A dangerous script tells the promoter to hold because the student has a view on the Reserve Bank.

Views are allowed in the last paragraph, after the exposure is measured. Philosophy at the foot: AI generates. Data informs. Finance measures. Accounting verifies. Human judgment decides.

12. Sources the instructor will still re-open

Economic Times, 3 October 2026: Bagchi and investor trust; NCLT admission of Kotak Mahindra Bank's plea against Unity Realty and Developers; ICICI Prudential Life appointment coverage from 2 October.

2 October briefs aggregating Economic Times, Business Standard and Mint: rupee 96.3150; GST ■2.04 lakh crore, +14.7 percent; Maruti 2.36 lakh units, +24 percent; Hero 7.66 lakh units, +12 percent; FPI sales about ■36,000 crore; UPI 24.07 billion, +23 percent; Bagchi clearance, three-year term; ADR move reported above 5 percent; FDI equity \$19.8 billion, +6 percent; equity issuance about \$25 billion in H1 FY27.

BW CFO World on the repo at 5.25 percent. RBI-related briefs on the 10 percent institutional bank-share path and on monthly EDF for service exporters from 1 October 2026. Aggregators mis-state. Primary circulars and filings govern. Created and Copyright by Dr. Debasis Pahi. The composite firm is not a real exporter.

13. Questions for the room

1. Why is netting the receivable against the payable not a hedge under a serious treasury policy?
2. Which of GST, FPI, and the rupee belongs in the 13-week cash forecast?
3. Does a CEO change at the lending bank require a covenant check even if you expect the answer to be no?
4. How does the note change if 80 percent of the payable is already covered?
5. What do you open on the RBI site before quoting 96.3150 in a placement interview?
6. If the desk quotes a forward worse than 96.30, do you still cover, and what sentence do you use?
7. Why must designation of a hedge exist before the move, not after it?
8. Which headline from 3 October belongs in the ignore folder, and why is that a skill?

Grading. Full marks require the timing gap, a labelled assumption, a primary source still to be checked, and a refusal to celebrate GST. Philosophy stays in the footer of the student email.

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